

Meyer was paid more than \$7 million a year—seven times what Swensen was making. Meritocratic results-based pay for successful managers was common on Wall Street, but it ran counter to certain notions of Ivy League decorum.

Start with Terry M. Bennett and other alums like him. Bennett was Harvard Medical School, class of 1964²⁹⁵—and previously a regular and generous donor to the medical school.²⁹⁶ He was quoted in a 2004 *New York Times* article threatening to withhold future gifts if Harvard didn't cut the compensation for money managers (despite their above-benchmark returns). “The managers of the endowment took home enough money last year to send more than 4,000 students to Harvard for a year,” Bennett told the *Times*.²⁹⁷ Harvard eventually acceded to its alums' and faculty wishes over management-company pay levels.

HMC's investment performance has never recovered in the decades that followed.²⁹⁸

At the time, the high-earning Harvard endowment management team was delivering 13% annual returns, beating lower-paying arch-rival Yale's 9%. The roughly 400 basis point differential was worth almost a billion dollars per year in excess returns to HMC.

Also problematic: Then Harvard President Lawrence Summers bigfooted his way in. As the *Boston Globe* reported, Summers ignored Meyer's warnings that the university was “mismanaging its basic operating funds” and putting too much capital in risky stocks, bonds, and alternative investments.²⁹⁹ That overinvested posture suffered giant, painful losses during the GFC.

The negative perception of a richly compensated managerial team led to the sort of touchy-feely academic posturing most of us in the real world find silly. Institutions are made up of people, and those people make the same mistakes everyone else does. Offended by the high cost of this talented team of managers, the brain trust that is the Harvard professorial class, with